The impact of appeasement and sidelining strategies on IO legitimacy depends on the balance struck between these approaches. While appeasement may secure short-term cooperation, it risks long-term damage if perceived as unfair. Secrecy may protect sensitive negotiations but can erode trust if it compromises transparency. Meanwhile, proactive engagement and clear communication can rebuild public confidence and solidify support for multilateralism. Policy officials must weigh these trade-offs carefully, considering not only the immediate challenges posed by populism but also the broader implications for the legitimacy and resilience of IOs moving forward.

9.3.2 Adaptability

IOs are often criticized for succumbing to status quo bias, which limits their ability to adapt to changing circumstances. Yet our findings reveal that IOs do evolve in the face of populist threats. In fact, populist pushback can act as a catalyst for reform.

Absent external shocks or major crises, IOs are notoriously resistant to change, with reforms typically incremental and slow-moving (Page 2006; Carnegie and Clark 2023). The IMF, for example, has faced criticism for its reluctance to redistribute voting shares to reflect the growing influence of rising powers like China and India (Kaya 2015). This inertia stems from a combination of bureaucratic hurdles, entrenched institutional cultures, and member states' competing interests. Additionally, IOs' risk-averse nature often discourages them from departing from established procedures, as they fear the unintended consequences of significant deviations.

Many reforms are inherently a zero-sum game for resource-constrained IOs. Granting more influence, resources, or benefits to one member often comes at the expense of another, creating resistance from those who stand to lose. This dynamic makes proactive appeasement difficult, as reforms require extensive negotiation, resources, and political will. Moreover, many IOs operate through consensus-based decision-making, either formally (e.g., the WTO) or informally (e.g., the IMF and World Bank), further complicating the process of implementing change.

However, history shows that systemic shocks, such as global security or financial crises, can break through this inertia and prompt transformative